



Province of the
EASTERN CAPE
HUMAN SETTLEMENTS

Annual
POLICY SPEECH
2025/26



BUILDING THE EASTERN CAPE
WE WANT



2025/26 BUDGET AND POLICY SPEECH TABLED BY THE MEC FOR EASTERN CAPE MEC FOR HUMAN SETTLEMENTS HONOURABLE SIPHOKAZI LUSITHI AT THE EASTERN CAPE PROVINCIAL LEGISLATURE.

10 June 2025, Raymond Mhlaba Chamber, Eastern Cape Provincial Legislature

Honourable Speaker

Honourable Premier

Honourable Members of the Provincial Legislature

Leaders of Political Parties represented in the House

Leadership of the Eastern Cape House of Traditional Leadership

Leadership of the ANC Headed Revolutionary Alliance

Religious Leaders

Director General and Heads of Departments

Heads of Agencies

Representatives of Youth Formations

Business fraternity

People of the Eastern Cape at large

Honourable Guests

Our colleagues from the media houses

Good Afternoon, Molweni, Goeie Middag, Dumelang

INTRODUCTION

Honourable Speaker, allow me to extend my heartfelt greetings to everyone present in this esteemed House, those following through various platforms and most importantly to the people of our province. It is a profound honour to stand before you today to table the 2025/26 Budget and Policy Speech of the Department of Human Settlements.

This 2025/26 Budget and Policy Speech is more than a fiscal exercise, it serves as an opportunity for us, as a ministry to engage meaningfully with the people of the province. It is a platform for us to give an account of the strides we have taken, reflect on the challenges we continue to face, and articulate a clear roadmap for delivering on the needs and aspirations of our people.

The tabling of this budget vote comes at a time when our province, our country, and the world continue to grapple with the persistent challenges of unemployment, inequality, and poverty. These challenges demand strategic and innovative solutions from those of us entrusted with the public mandate. It is incumbent upon us to take decisive steps to transform the socio-economic conditions of our people through bold interventions in human settlements development.

This year is of significant importance as it marks seventy years since the adoption of the Freedom Charter at the historic Congress of the People in Kliptown. The adoption of the Freedom Charter in 1955, along with the inclusive participatory process that shaped its creation, marked a watershed moment in the struggle against apartheid colonialism. The Freedom Charter remains a timeless blueprint for social justice and transformation. It is a guiding compass for our work, particularly in the realm of human settlements. The people of South Africa through the Freedom Charter declared:

“There shall be houses, security, and comfort! All people shall have the right to live where they choose, be decently housed, and to bring up their families in comfort and security.” They further declared that ***“Slums shall be demolished, and new suburbs built where all have transport, roads, lighting, playing fields, crèches, and social centres.”***

These declarations of the Freedom Charter are not just ideals, they are a direct call to action. They define the foundation upon which we conceptualize and implement integrated and sustainable human settlements that promote social cohesion, economic opportunity, and spatial justice.

Providing dignified housing for the most vulnerable remains a key priority of this government, and significant progress has been made in this regard. However, the demand for housing continues to grow due to population expansion and migration for economic opportunities. Addressing this requires a comprehensive and inclusive approach, one that extends beyond Breaking New Ground (BNG) housing. Our commitment is to implement diverse interventions that cater for all sectors of the human settlements spectrum, ensuring a response that is transformative, inclusive, and forward-looking.

As James Howard Kunstler aptly put it: ***“Human settlements are like living organisms. They must grow, and they will change. But we can decide on the nature of that growth, on the quality and the character of it, and where it ought to go.”***

We are determined to take deliberate steps to shape the future of sustainable integrated human settlements in the Eastern Cape, ensuring that they are resilient, and reflective of the aspirations of our people. For us, housing provision is more than just delivering shelter, it is a fundamental pillar of restoring dignity to South Africans, particularly in light of our nation’s historical injustices. Housing represents security, stability, and the foundation for a dignified life.

The provision of housing extends beyond the mere construction of physical structures; it involves the creation of secure, stable, and dignified living environments that have the potential to transform lives. This is particularly crucial for child-headed households, where minors are compelled to assume responsibilities far exceeding their developmental years due to the loss of parents or guardians.

For these vulnerable children, a house represents more than just a roof over their heads, it provides security, stability, and hope for the future. A secure home ensures that children are protected from harsh weather conditions, crime, and exploitation. It offers them a safe space to focus on their education, personal growth, and emotional

well-being without the constant fear of displacement or homelessness. One of the 75 beneficiaries of Gasela near Stutterheim, Miss Asipho Nyokana who has been caring for her two younger siblings after losing their parents in 2021, expressed deep gratitude and joy when receiving the keys to their newly built home on 21 November 2024. Overwhelmed with emotion, she remarked:

"Namhlanje, siyavuya siziva sonwabile kuba sinekhaya. Emva kokuba sashiywa ngabazali, saye sohlukana, abanye behlala kwizihlobo. Kodwa namhlanje, sinikwe le ndlu ukwenzela sikwazi ukuhlala sonke ekhayeni elifudumeleyo."

Honourable members, this policy speech is tabled as we begin in earnest with the 7th term of administration, it is therefore important for us to be coordinated within the strategic priorities for the term which are:

1. *Provision of housing opportunities and assistance, prioritizing the Destitute, Vulnerable Groups, Military Veterans and GBVF victims;*
2. *Empowerment Opportunities, Skills Development and Job Creation for Micro Small and Medium Enterprise (MSME) including designated groups;*
3. *Enhance partnerships and collaborations with Strategic partners in Mobilising Human Settlements Investments;*
4. *Unlocking of local Buildings Material Manufactures and Suppliers;*
5. *Identify, acquire, hold, develop and release residential state land for sustainable human settlements development;*
6. *Upgrading of Informal Settlements;*
7. *Municipal Support and Accreditation Programme;*
8. *Accelerated Registration and Issuance of Title Deeds to Homeowners;*
9. *Adoption of Innovative and Sustainable Building Technologies (ISBT);*
10. *Strengthening Consumer Education and Community Interventions;*
11. *The improvement of the functionality of the department for improved delivery service outcomes*

Honourable Members, over the past two decades, policy shifts have evolved from simply constructing houses to developing sustainable integrated human settlements that promote social cohesion, enable the creation of new towns, and unlock economic opportunities.

In this regard the assignment of the Department of Human Settlements and the Department of Public Works and Infrastructure under one ministry presents an unprecedented opportunity to fundamentally reshape the socio-economic conditions of the Eastern Cape. This integration uniquely positions us to harness our collective strengths and drive transformative change in addressing persistent challenges such as unemployment, poverty, and inequality. In pursuit of these goals, we have identified 9 collaborative areas for this term, which are aligned to Departmental priorities:

1. *Devolution of State-owned properties to ensure rightful custodianship;*
2. *Identify state-owned residential properties that can be availed at affordable rentals to accommodate the citizens;*
3. *Avail and repurpose state-owned properties for use as Safe Houses to accommodate survivors and victims of Gender Based Violence and other community development programmes;*
4. *Contribute to Ocean's Economy and Eastern Seaboard Projects;*
5. *Implement a Mixed-Mode Development Model as part of building sustainable Human Settlements, focusing on Secondary Cities and Small Towns;*
6. *Unlocking local material supply and project packaging;*
7. *Collaboration through Expanded Public Works Programme (EPWP);*
8. *Micro, Small and Medium Enterprise (MSME) support and development;*
9. *Collaboration on social facilitation services*

In response to the identified collaboration areas, we will advance the development of a Mixed-Mode Development Model to foster sustainable human settlements in secondary cities and small towns, ensuring balanced urban growth and revitalization.

Affordable Housing for low to middle income earners will be availed through the release of well-located land/ or state-owned properties to ensure decent and affordable housing options in declared restructuring zones to safeguard the dignity and wellbeing of our citizens. These efforts will help to reduce inequality and economic hardship focusing on exploring opportunities in the ocean economy and improving the Gap Market.

We are committed to support initiatives of repurposing state-owned properties to serve as safe houses for survivors and victims of Gender Based Violence and Femicide (GBVF), while also extending support to LGBTQI+ communities and other vulnerable groups through targeted human settlements programmes.

We will support the evolution and capacity building of local manufacturers and suppliers in the building materials sector, fostering innovation, sustainable practices, and new job opportunities that drive local economic growth.

We will enhance mechanisms for community participation in the planning and decision-making processes, ensuring that the voices of our citizens guide development priorities. This inclusive approach will build trust and secure broad-based support for our initiatives.

Together, these comprehensive initiatives will not only redefine the landscape of public infrastructure and human settlements in the Eastern Cape but also pave the way for a more inclusive, resilient, and prosperous future for our communities.

However, as we advance this agenda, we must recognize the growing threat of climate change and its impact on human settlements, especially in a largely rural province like ours. Increasingly, we face severe weather patterns, rising risks of floods and droughts, and the urgent need to develop resilient housing solutions that can withstand these challenges while promoting environmental sustainability.

REVIEW AND HIGHLIGHTS

Honourable Speaker, we are resolutely committed to ensuring housing, security, and comfort for all. Central to our belief is the conviction that every individual, regardless of race, gender, or creed, has the right to decent shelter and comfort. This belief, along with the constitutional mandate in Section 26, guides the housing policies of our government. Our subsidized housing program prioritizes the destitute, elderly, and vulnerable. Our unwavering commitment to providing quality homes remains strong. While many of our citizens have received their homes, others are still waiting. Our government is fully dedicated to overcoming this challenge, offering hope to those still awaiting their homes. We will not fail our people. It is that commitment that binds us to deliver against the priorities we have pronounced to the people of this

glorious province. As a Member of the Executive Council charged with the responsibility of delivering on sustainable human settlements, allow me to give an account of how we have fared from 01 April 2024 to 31 March 2025.

Upscaling of Housing Opportunities with Special Focus and Prioritization of Destitute, Vulnerable Groups and Military Veterans

Honourable speaker, provision of secure and decent shelter to the neediest beneficiaries not only restores dignity but also gives households a catalyst for economic emancipation and sustainable livelihoods. The Department remains committed to go beyond provision of housing opportunities but to create social, spatial and economic integration through sustainable settlements. In the 2024/25 Financial Year, the Department has delivered **6 115** BNG houses, with a further **2 892** housing units at various stages of construction, while we serviced **7 090** sites. These interventions are targeting the elderly, women, people living with disabilities, child headed households and military veterans.

Honourable members, the Department continues to build houses for Military Veterans and has already appointed contractors for Chris Hani, Joe Gqabi, Alfred Nzo and O.R. Tambo Districts to carry out this important task. In other regions, approved beneficiaries are included in running projects and the remainder of the units for Military Veterans will be completed during the 2025/26 Financial Year. We are concerned about the recent invasion at the Chetty 491 Project in the Nelson Mandela Metro, and the Department is resolving the situation by building 40m² houses for Self Defence Unit (SDU) who meet the qualifying criteria. Additionally, the dependents of Military Veterans will also be accommodated to enhance their quality of life and support their socio-economic advancement.

The Department utilizes the Remedial Works Programme as an instrument to redress inhumane inhabitable, unsafe and squalor conditions pre- and post-1994 housing stocks. To this end, we will continue to utilise **10% HSDG** allocation for the Remedial Works Programme which has enabled us to reach **801** beneficiaries during the 2024/25 Financial Year. Rectification has been maximized in Sarah Baartman Region with **352** houses completed in the Addo Noluthando, Bathurst, Alexandria

402 and 303 projects. This has improved the living conditions of over **4 806** people across the province.

Honourable Members, the Individual Subsidy Programme has opened opportunities for low-income households by providing state assistance to qualifying beneficiaries who wish to acquire an existing house or a stand, linked to a house building contract in the property market. In the 2024/25 Financial Year, the Department has delivered **44** subsidies to the qualifying households, promoting security of tenure and reducing homelessness for approved persons.

Honourable Speaker, the province of the Eastern Cape is prone to natural disasters. To this end, through the District Development Model Framework we are working with the National Department, Districts and Local Municipalities to speed up the response time in areas affected by disasters. The Department through the Emergency Housing Assistance Programme provides temporary housing for disaster victims until such time they can be provided with permanent houses. In the 2024/25 Financial Year, we have provided **1 243** temporary shelters as means of bringing relief to the distressed while we seek to provide permanent housing solutions. As part of our progressive response to disasters, the Department has further delivered **823** permanent housing solutions to **4 938** homeless and acute destitute people that were previously affected by disasters.

Honourable Members, First Home Finance (FHF) is a once-off housing finance subsidy intervention which enables qualifying beneficiaries to buy or build their first homes on affordable basis. The Programme was developed to enable sustainable and affordable first-time home-ownership opportunities to South African citizens and legal permanent residents whose household income is from R3 501 up to R22 000 per month. This intervention allows the Department to subsidise both urban and rural housing development and provides applicants with alternative finance options. In this regard, **279** households have received their subsidies in the 2024/25 Financial Year.

Phakathi kwabo bathe baxhamla, sinabo kuLendlu Yowiso Mthetho yePhondo namhlanje umnumzana uMandilakhe Funani no mnumzana uMava Mchatha abasuka kwidolophu iMonti, kumasipala ombaxa i Buffalo City. Bobabini bathe bafumana inkxaso kulenkqubo ye First Home Finance eziswa LiSebe.

Systematic Unblocking of Historically Blocked Projects

Honourable Speaker, we are pleased to announce in this esteemed house that we have managed to make inroads in the unblocking of previously blocked projects. Before the 2024/25 Financial Year there were **87** blocked projects in the province and the Department managed to unblock all **87** projects that will be implemented over multi-years. This will unlock the debacle of **12 759** units which will benefit about **76 554** needy people across the province. Some of these projects were blocked because of poor performance of contractors, unavailability of bulk infrastructure and social challenges during implementation.

Sasithembisile ukuba sizokuwenza siwuqukumbele lomsebenzi. Ngokwenene, singulorhulumente okhathalayo sisigcinile esisithembiso.

Accelerated Registration and Issuance of Title Deeds to Homeowners

Honourable Members, the title deeds programme focuses on provision of secure tenure rights to our beneficiaries by restoring their dignity and property ownership. In the 2024/25 Financial Year, we have been able to register **2 589** title deeds in all categories thus benefiting **15 534** people in attaining secure tenure and an economic asset. To secure ownership for our beneficiaries, we have adopted a strategy that title deeds will be issued at the approval of the beneficiaries where a site/land can be transferred. This is being piloted in the following projects: Engcobo Extension 11-1854, Cacadu Mixed Development 800 and Boxwood 3500 that are finalizing their planning stage while beneficiary approval is ongoing. Security of tenure provides a secure and stable right to land and property, including improved livelihoods, increased investment and social stability, while promoting human rights and sustainable development.

Increase in Empowerment Opportunities for Micro Small and Medium Enterprises (MSMEs) including Women and Youth

Honourable Speaker, the National Development Plan 2030 considers infrastructure as a vehicle of alleviating unemployment and poverty. The Department contributes to infrastructure development of the Province and considers the utilisation of Micro,

Small, and Medium Enterprise (MSME) contractors, local material manufactures and supplier's imperative for contributing to Local Economic development (LED).

The Department prioritises the empowerment of MSMEs and designated groups. True to this, we have provided various interventions inclusive of training, skills development and provision of work opportunities to the MSMEs. The Department has created **87** empowerment opportunities through training for MSMEs in the 2024/25 Financial Year in partnership with National Home Builders Registration Council (NHBRC) and Small Enterprise Development Finance Agency (SEDFA). Furthermore, the Department has exceeded the **40%** of the target for the designated groups and awarded **75%** of the HSDG construction budget, translating to the value of **R 1,1 billion** to women and youth contractors. This is remarkable as the Department has played a major role in advancing gender equality and promoting women and youth economic justice.

Our Youth Brigade Programme continues to capacitate young people with knowledge and skills within the construction sector and **150** youth has benefited with **113** women and **37** men in the 2024/25 Financial Year. Moreover, **27** youth (**16 females and 11 males**) were capacitated through the Artisan Development Programme. The Department has also provided workplace experience to **19** Graduate Interns (**10 Females and 09 Males**) and **67** student interns (**57 Females and 10 Males**) in 2024/25 Financial Year. These programmes contribute significantly to the skills pipeline in both the sector and broader economy.

The EPWP programme was declared to create job opportunities through meaningful economic transformation. The programme aims at poverty alleviation through providing employment for low skilled and unemployed people. In the financial year 2024/25 the Department has developed an EPWP Policy which aims to ensure effective implementation and mainstreaming of the Programme. Furthermore, the Department has created **3 396** work opportunities benefitting **408** women, **464** female youth, **1 224** male youth and **1 300** adult males in the 2024/25 Financial Year.

Siyaqhuba ukuqinisekisa amathuba emisebenzi nokususa ikati eziko kubemi bePhondo lethu.

Upgrading of Informal Settlements and Provision of Social and Economic Amenities

Honourable Members, the Upgrading of Informal Settlements programme supports the organized transformation of informal settlements. It covers both the in situ upgrading of these areas and the relocation of communities when necessary. The programme is greatly enhancing the quality of life for residents by providing access to essential services such as clean water, sanitation, electricity, and socio-economic amenities. This has resulted in positive impacts on health, safety, economic opportunities, community cohesion, and overall development. Additionally, it contributes to a more sustainable urban environment by minimizing environmental risks and promoting social inclusion within towns.

The Department committed to upgrade **160** informal settlements in various phases across the Eastern Cape during the 2024/25 Financial Year. We hereby report that out of **45** Phase 1 informal settlements upgrading projects, a total of **15** have been completed and will transition to Phase 2 in 2025/26. Additionally, out of **86** Phase 2 informal settlements upgrading projects, **30** have graduated to Phase 3. Furthermore, **29** informal settlements that were in Phase 3, one (**1**) has been completed and the rest are in advanced stages of completion, enabling communities to access permanent infrastructure for water supply, reticulation, paved roads, and permanent sanitation. Through this programme, the Department has improved the quality of life for **26 107** households in informal settlements by enhancing access to transport, emergency services, and reducing health hazards and crime through the provision of basic services.

The Social and Economic Facilities Programme focuses on developing primary public, social, and economic facilities within both new and existing housing areas, as well as informal settlement upgrading projects. The Tsomo MPCC in Intsika Yethu Local Municipality and the Mnandi MPCC in Blue-Crane Route Municipality are currently under construction and are expected to be completed by 2025/26. The

Mnandi MPCC has progressed at 70% whilst the Tsomo MPCC at 55% and will be completed in September and December 2025 respectively. The contractor for the Nkantolo MPCC has commenced with construction and is anticipated to be completed by 2026/27.

Through this programme, the Department has contributed to the spatial transformation and improvement of integrated communities, ensuring that citizens have access to essential social amenities, economic opportunities, and recreational facilities, including early childhood development centres, play parks, and sports facilities.

Progressive adoption of Innovative and Sustainable Building Technologies (ISBT)

Honourable Members, the Department has made notable strides in implementing various elements of Innovative, Sustainable, and Building Technologies (ISBT) both in urban and rural setting for human settlements projects. The sector views ISBT as a proactive approach to creating climate-resilient buildings and cities, with the potential to eliminate informal settlements. The Informal Settlements Upgrading Partnership Grant seeks to provide basic services to restore the dignity of communities residing in Informal settlements and has embraced the use of these certified Alternative Sanitation Technologies throughout the Province with a particular focus on sanitation as quicker solution to the conventional methods such as VIP toilets and Chemical Toilets. The choice of the Pour-flush, Containerized and EnviroSan Conservancy tank Toilets are now being installed as the ISBT option in the upgrading of informal settlements, due to their low water usage, quick assembly and environmental efficiency. These technologies are currently being installed in Amathole, Chris Hani, Alfred Nzo, Sarah Baartman and Joe Gqabi Regions as part of the upgrading of informal settlement programme.

In response to the National Department of Human Settlements' International Summit on Innovative Building Technology that will be held in September 2025, the department will be hosting a Provincial Summit that will develop a provincial response to the progressive adoption of Innovative Sustainable Building Technology.

The Summit will explore how cutting-edge technological advancements can be localised to the province with a special focus on infrastructure in disaster-affected areas and informal settlements. This will take into consideration the transformation of the spatial landscape and restore stability, and normality to affected communities. Furthermore, the Summit will mobilise potential partners for investment and accelerated delivery towards the new vision of mixed mode developments.

Municipal Support and Accreditation Programme

Honourable Members, the Department is mandated by the Constitution and the Housing Act to provide capacity support to municipalities, and this has also been highlighted through the Provincial Medium Term Development Plan priorities. The Department continues to strengthen the capacity of municipalities, enabling them to actively contribute to human settlements development and transform the province's landscape. In collaboration with Nelson Mandela University, the Department has been offering competency-based training to councillors, traditional leaders, and municipal officials in human settlements-related areas, to help enhance municipal capacity. BCMM was accredited to Level 2 during 2024/25 Financial Year. Through these interventions, municipal capacity is enhanced to participate in human settlements development programmes including the implementation of projects.

Partnerships and Collaboration with external stakeholders

Honourable Members, transforming the Human Settlements sector requires a multi stakeholder approach that leverages partnerships and collaborations across government, private sector, civil society and international organisations. These partnerships are essential for enhancing service delivery, mobilising resources, and implementing innovative solutions to address housing challenges. During the 2024/25 financial year the Department has signed a Memorandum of Understanding with Agrément South Africa on 5 strategic areas of collaboration on ISBT: Access to Agrément South Africa database; Research and Development; Training and Workshops, Social Facilitation; Project Implementation and Monitoring. To realise this, the Department will develop ISBT Framework Agreement for panel of ISBT contractors.

Additionally, the Department has partnered with private companies such as Old Mutual, Chippa Mpengesi Foundation, and various departmental contractors, all of whom have made significant contributions to the Department's efforts in providing relief to the most vulnerable members of our communities.

Moreover, the Department has collaborated with the Departments of Social Development, Correctional Services, Agriculture, Forestry Fisheries and Environment and Public Works and Infrastructure, for food security, household gardens, furniture for vulnerable families and to integrate government services. During the year under review, **1 600** trees were planted as part of the Tree Planting Greening initiative in Sarah Baartman District Municipality and the Nelson Mandela Bay Municipality Metro through collaboration with the Department of Forestry, Fisheries and Environment. More could have been achieved but due to challenges posed by an extortion syndicate, the project could not proceed in other areas. The Department supports government initiative to put an end to extortion in our projects.

Strengthening Public Education and Awareness on Various Instruments

Honourable Speaker, an informed citizenry is essential for a thriving democracy, as it empowers citizens to make informed decisions about their government, hold leaders accountable, engage actively in the political process, and drive positive societal change. For this reason, the Department undertakes public education and awareness campaigns that equip communities with knowledge about the Department's programs, policies, and services. It is the Department's responsibility to ensure that communities are consulted, involved, and take ownership of human settlements development in their areas. The Department in its robust communication strategy is focussing on mass media platforms as part of making information available to communities. Utilizing a range of channels such as media, marketing, and audio-visual elements, the Department communicates its development efforts and addresses the information needs of communities, including various groups and structures within them. This approach has allowed the Department's messages to reach millions through mass media platforms. In the 2024/25 Financial Year, the Social Facilitation Programme reached **6 683** housing beneficiaries through consumer education and supported **23** functional Project Steering Committees.

Honourable Members, the Eastern Cape Rental Housing Tribunal continues to inspire confidence as an arbiter in conflicts between tenants and landlords. To this end it has maintained its position in the Top **3** best performing tribunals in resolution of cases with **313** cases resolved in the 2024/25 Financial Year. We have increased the number of municipalities with established Rental Housing Information Offices from **14** to **19**. These play a critical role in providing information and advice to landlords and tenants with regards to their rights and obligations in relation to dwellings within their area of jurisdiction.

Honourable Speaker, with the limited fiscal we operate within, we have managed to deliver on our promise of transforming communities and creating sustainable human settlements for the people of the Eastern Cape. Where once stood mud structures - now are dignified homes and where disaster once left scores displaced – now stands erect proper structures. We have transformed lives of the destitute and vulnerable groups through the provision of decent housing subsidies, job creation, skills development and integrated government services. This is the reflection of the performance of the Department at the close of the 2024/25 Financial Year.

REVIEW OF DEPARTMENTAL EXPENDITURE

Analysis of Departmental Expenditure as at the 1 April 2024 to 31 March 2025

The Department has achieved unqualified audit opinions during the 2023/24 Financial Year. Furthermore, the Department has spent **100%** of its HSDG & ISUPG allocation for 2024/25 Financial Year, which is a significant improvement for the department. Consequently, an additional **R50 million** was allocated to the department to complete critical projects, support implementing agents and promote economic growth and social stability. This is attributed to the Department's commitment to fulfilling its mandate and serving the people of the Eastern Cape. The continued support of independent Audit and Risk Management structures within the Department, which oversee governance, risk, and control processes have also been critical to this achievement. These oversight mechanisms foster a strong internal control environment, enhancing the effectiveness of both internal and external assurance, ultimately leading to positive audit outcomes.

DEPARTMENTAL OUTLOOK FOR 2025/26

Honourable Members, we remain committed to achieving more equal, prosperous and integrated communities as guided by the PDP Vision 2030. The demand for human settlements is more urgent now than any other time as we seek to transform the spatial landscape of the province and South Africa at large. This cannot be achieved unless we go beyond Breaking New Ground housing and consider interventions that impact all markets within the human settlements sector. The planning tradition emphasises the need to envisage and prepare for the future. By so doing it also recognises that people, place, environment and economy are all connected to each other. We must proactively seek to shape our space, with a view to achieving spatial justice which in our case requires us to break the apartheid spatial development.

In this regard, the Department is prioritising human settlements development in the prioritised Public Works Office Precincts and the Small-Town Revitalisation Programme such as the EMaxesibeni Office Precinct, Bhisho Precinct, Mqanduli Precinct, Ntabankulu Social Housing Project and the Eastern Seaboard Development, through collaborating with the municipalities. We will be lifting Social and Rental housing interventions and the First Home Finance (FHF) instrument to the centre for the realisation of spatial, social and economic integration working with other sector departments.

In November 2024, the department participated in the twelfth session of the World Urban Forum in Egypt under the theme: “It all starts at home: Local actions for sustainable cities and communities.” Our participation sought to explore mechanisms for addressing policy, innovation, and sustainable solutions for affordable housing. At the Forum, we were able to participate in meetings and in networking activities, key to these was a bilateral engagement with the Singapore Housing Development Board which served to benchmark best practices in the delivery and management of large-scale developments. This has assisted us in shaping the vision for the 7th administration in transforming the spatial landscape of the Eastern Cape, indeed the time for Eastern Cape to thrive is now.

We are therefore confident that as we start the new cycle in the 2025/26 financial year, we will be able to implement the broad policy priorities of the 7th administration.

Provision of Housing Opportunities and assistance, prioritising the Destitute, Vulnerable Groups and Military Veterans and GBVF victims

Honourable Members, prioritizing destitute and vulnerable groups in housing delivery is a crucial aspect of addressing the housing needs of those who are mostly in need. The Department remains committed to delivering BNG houses in particular to the most vulnerable members of our society, which includes the destitute, elderly, child-headed households, people living with disabilities, military veterans and disaster-affected beneficiaries. We are doing this work mindful of the diverse socio-economic realities of the people of this province.

As we strive to create a more prosperous and inclusive province, the Department is taking bold steps to transform the landscape of our province. We are pioneering mega mixed and gap market mode housing solutions, an unprecedented investment in our province's history. To turn this vision into reality, we have put in place mechanisms to explore alternative funding sources, as well as to attract local and international investors to partner with us in developing our province. Furthermore, we have already acquired strategic parcels of land in identified development areas, paving the way for implementation. This groundbreaking initiative promises not only to address our province's housing needs but also stimulate economic growth, create jobs, and enhance the quality of life for our citizens. We are committed to making this vision a reality. To enable this bold initiative, I will establish a **Joint Human Settlement, Property and Real Estate Coordination Forum** to advise and guide public-private participation and other innovative models as a catalyst to accelerate development. The Forum will work closely with National and Municipal Spatial planners to improve the coordination of our spatial transformation efforts whilst also simplifying the red tape within our processes. I invite all stakeholders to join us on this exciting "journey".

Honourable Members, in the 2025/26 Financial Year, the Department of Human Settlements will deliver **4 970** BNG Housing units, **260** “First Home Finance” subsidies, **77** Individual Subsidies and **4 345** serviced sites in all our regions through the Human Settlements Development Grant. Furthermore, we are committed to complete all houses for **143** approved military veterans during the 2025/26 Financial Year. The Department will, within its budget constraints, utilise its budget allocation for rectifying **1 158** units under the Remedial Works Programme across the province. We will continue to lobby the National Department for additional budget in addressing the shortfall in this programme.

The Department is utilizing the Framework Agreement to appoint and replace contractors and Professional Service Providers (PSPs), streamlining the procurement process to accelerate the delivery of sustainable human settlements projects. This framework enables a pool of pre-qualified contractors to provide services, ensuring that vulnerable beneficiaries receive timely and efficient support. It also facilitates the replacement of underperforming contractors within 2-3 weeks, preventing any disruption in the delivery of quality services to beneficiaries.

Empowerment Opportunities, Skills Development and Job Creation for Micro Small and Medium Enterprise (MSME) including designated groups

Honourable Members, the President has recently signed the new Public Procurement Act, which will assist the Department in facilitating the prioritisation of designated groups in procurement. In line with the Public Procurement Act 2023, the Department is developing a policy on Micro Small and Medium Enterprise Development which will provide guidelines for the implementation of MSME development thereby contribute to the socio-economic development in the province. The Department commits to ensuring that **40%** of Human Settlements Development Grant and Informal Settlements Upgrading Partnership Grant benefits MSME contractors. This will contribute to economic growth and sustainability of MSME.

Honourable Members, the Department will support **142** youths through the Artisan Development Programme (apprenticeship and learnership) to enable them to participate in the economic mainstream through a partnership with the construction

CETA. The exit strategy for the artisans and learners entails their placement in the departmental projects, whilst others opt to form their own businesses. Furthermore, the department will partner with the Department of Public Works and Infrastructure for structured learning through the APTCORD programme to enable them to qualify as artisans.

The Department will further provide workplace opportunities for **49** Technical and Vocational Education and Training Learners; and **33** graduate interns through collaboration with the Office of the Premier and Construction Education and Training Authority (CETA).

The Department will create **5 834** job opportunities through EPWP programme prioritising youth and women. The Department is working in collaboration with the Provincial Department of Public Works and Infrastructure to enhance its capacity for the rolling out and reporting of the EPWP.

Honourable Members, the department will be rolling out a bursary scheme aimed at supporting disadvantaged youth. This scheme will focus on high-achieving pupils who wish to pursue qualifications in human settlements and other fields relevant to the built environment. It will offer valuable developmental opportunities that will help prepare these young individuals for future participation in the workforce.

Enhance partnerships and collaborations with Strategic partners in Mobilising Human Settlements Investments

Honourable Speaker, the Department will be prioritising the mobilisation of human settlements investment in the province through the development of the 20-Year Provincial Human Settlements Masterplan. This plan will assist the Department in structuring sector priorities and project packaging for investment promotion in the long-term. It will outline a vision that connects human settlements development to the broader socio-economic agenda of government.

Honourable Members, the Department has concluded a Memoranda of Understanding with various local institutions of higher learning namely, Nelson Mandela University; University of Fort Hare, Walter Sisulu University and Rhodes University. These Memoranda of Understanding are intended to formalize the parties' relationships and coordinate their efforts to identify and undertake credible research projects to provide evidence-based information that will assist in addressing human settlements development related challenges in the Province. Furthermore, this will have an effect of the capacity building interventions and training of the human settlements practitioners as deemed imperative by the Department.

Unlocking of local Buildings Material Manufactures and Suppliers

Honourable Members, we aim to strengthen local industries by prioritizing emerging manufacturers and suppliers in government procurement. Policies will be developed to ensure greater participation of historically disadvantaged businesses in the construction and infrastructure value chain. Ours is a strategic transformation of the state to serve the people in all fronts as in the true spirit of the tenants of the Freedom Charter and the National Democratic Revolution. To this end, the Department will unlock the potential within black industrialists that operate in the South African economy through deliberate, targeted, and well defined financial and non-financial support. The Department will ensure that contractors who are appointed by the Department procure at least 10% of the building materials from the black industrialists and suppliers. These black industrialists will be sourced from the database of the organs of state such as Small Enterprise Development and Finance Agency (SEDFA) and Eastern Cape Department of Public Works and Infrastructure.

Identify, Acquire, Hold, Develop and Release Residential State Land for Sustainable Human Settlements Development

Honourable Members, as part of our continued spatial redress to settle our people closer to sustainable, liveable and inclusive neighbourhoods, the Department has identified and acquired seven land parcels strategically located in Buffalo City Metropolitan Municipality for human settlements development. The land parcels

acquired will contribute in the Bisho Office Precinct development wherein Mixed mode development, Social Rental Housing and First Home Finance instruments will play a central role in optimising the realisation of human settlements objectives. The Department will continue to work with Housing Development Agency (HDA) and municipalities in the identification, acquisition, and release of additional state land through state land disposal processes and devolution.

Upgrading of Informal Settlements

Honourable Speaker, the Department will be upgrading **160** Informal Settlements in various municipalities utilising the Informal Settlement Upgrading Partnership Grant (ISUPG) during the 2025/26 Financial Year. The Department is also revising its Upgrading of Informal Settlements Strategy to assist in unblocking the bulk infrastructure challenges faced in various regions where the informal settlements are located which will also assist other housing developments initiatives. We continue to engage local government and sector departments to prioritise bulk infrastructure for human settlements development.

In 2025/26 Financial Year, the Department will complete the construction of **2** social and economic amenities: Tsomo MPCC in Intsika Yethu Local Municipality and Mnandi MPCC in Blue-Crane Route Local Municipality. The Qingqolo MPCC is undergoing planning and construction will commence in 2025/26 Financial Year. Furthermore, the Nkantolo MPCC has been unblocked and the anticipated completion date is 2026/27 financial year.

Municipal Support and Accreditation Programme

Honourable members, the Municipal Support and Intervention Framework has identified an approach to support and suggests that there are different types of support that can be given to municipalities based on their level of performance. This stems from the constitutional requirement in section 154 for national and provincial governments to support and strengthen the capacity of municipalities to manage their own affairs, to exercise their powers and to perform their functions. The Department has a strong role to play in ensuring that the state of local government

and its challenges are correctly diagnosed and understood. Through a comprehensive research programme that focuses on the capacity needs of municipalities, the Department is able to support programmes that are aligned with national government initiatives.

Honourable Members, the Revised Framework on Accreditation of Municipalities of 2023, provides guidelines for enabling the administration of human settlements programmes by municipalities. In the financial year 2025/26, the Department will prioritise the accreditation of Matatiele LM for Level 1 accreditation. Additionally, eight municipalities, i.e. King Sabata Dalindyebo, Kouga LM, Ndlambe LM, Nyandeni LM, Senqu LM, Umzimvubu LM, OR Tambo District Municipality and Sarah Baartman District Municipality will be prioritized for pre-accreditation support which will be followed by an independent capacity assessment to determine the readiness of these municipalities for accreditation.

Accelerated Registration and Issuance of Title Deeds to Homeowners

Honourable Members, we are continuing with restoring our people's dignity through our "One title deed, one beneficiary" campaign, ensuring homeownership and associated economic benefits. For the 2025/26 Financial Year, the Department will register **1 666** title deeds to qualifying beneficiaries. With every house handed over in the urban area, title deeds will be issued. Title deeds will also be issued at the approval of the beneficiaries where a site/land can be transferred. Through the Informal Settlements Upgrading Programme, the qualifying beneficiaries will be issued with title deeds.

Adoption of Innovative and Sustainable Building Technologies (ISBT)

Honourable Members, Innovative and Sustainable Building Technology (ISBT) remains an alternative to brick and mortar while augmenting service delivery and restoring human dignity through green, resilient and inclusive human settlements. Our commitment to sustainability has never been stronger. We must embrace innovation in our building practices, ensuring that our projects use the latest in sustainable building technologies. This will not only reduce costs but also ensure long-term benefits for the communities we serve. By embracing green building

practices, we are committing to a future where our homes and infrastructure are resilient in the face of environmental and climate change inclusive of ecological factors.

Honourable Members, the Department has made inroads in building houses using non-conventional building methods to counter the housing backlog, fast tracking of housing delivery, and creating economic opportunities. To illustrate our commitment, the Department has allocated a minimum 2% of its HSDG to implement projects with ISBT elements. During the 2025/26 Financial Year, the Department will implement **3** projects with ISBT elements in Alfred Nzo, Sarah Baartman, and OR Tambo.

Strengthening Consumer Education and Community Interventions

Honourable Members, the South African government has established a Housing Consumer Education Framework designed to guide interventions and initiatives related to housing education and awareness. This framework aims to ensure that all housing consumers understand government roles in housing provision, their rights and responsibilities, and the various housing programs and subsidies available.

In 2025/26 Financial Year, we will continue with public consumer awareness sessions on Human Settlements Programmes through media communications and community engagements. The Department will implement 5 social facilitation interventions province wide. These efforts reflect a Departmental commitment to fostering an informed and empowered consumer base, capable of making decisions that enhance personal well-being and contribute positively to the broader economy.

The Improvement of the Functionality of the Department for Improved Delivery Service Outcomes

Honourable Members, the Department is central to the ethical and developmental state agenda, with a focus on driving growth, employment, human resource development, and social upliftment. This is reflected in our dedication to implementing a service delivery model that enhances and revitalizes the Department's functionality. As the Department continues to drive growth,

employment, and social upliftment in the province, these achievements would not have been possible without well-coordinated efforts through comprehensive strategic planning, the implementation of the ICT Digital Strategy and Corporate Governance of ICT, business streamlining, enterprise-wide business continuity, and, of course, the responsible allocation of our budget for its intended purposes.

The execution of the ICT Digital Strategy alongside the Corporate Governance of ICT undoubtedly positions ICT as a facilitator and a strategic ally to the business. These governance initiatives in ICT offer valuable business insights and align the ICT function with the department's strategic goals. Furthermore, they guarantee the continuity of ICT services, institutionalize ICT governance, and promote digital transformation throughout the Department, thereby enhancing service delivery.

The implementation of the Department's Turnaround Strategy Plan focused on addressing key challenges, improving service delivery and ensuring accountability thereof. The turnaround strategy has delivered positive results in both the financial and non-financial performance of the Department which had made significant progress in our expenditure.

Honourable Members, the Department conducted the Organisational Functionality Assessment (OFA) to assess how effectively departmental enablers and support services are contributing to the core mandate of delivering integrated human settlements to the communities of the Eastern Cape. Following this assessment, the department revised and approved the Service Delivery Model (SDM) in 2024. The SDM will serve as the foundation for enhancing current business processes at both the district and head office levels. To implement the revised model, the Department has begun reviewing its organizational structure to better align with the delivery of the human settlements mandate.

Honourable Members, our Department has enjoyed five consecutive years without cases of fraud and corruption, and this is a clear commitment to our adopted ZERO tolerance to fraud and corruption because these, destroy the moral purity, integrity and our discharge of duty which is enshrined in the Constitution of the Republic of South Africa, section 195 - 197. The Department will be launching its Ethics Policy

in April 2025 as part of its awareness programmes for ensuring that all our stakeholders understand and abide by the principles and ethos guiding the department. The department will continue its work with other state institutions to prevent the loss of government resources which are meant for social upliftment, growth and employment creation.

REGIONAL OUTLOOK FOR 2025/26 UNITS AND SERVICES

REGION	SITES	UNITS	NUMBER OF PROJECTS	BUDGET ALLOCATION
ALFRED NZO	518	518	34	R 147 566 259
AMATHOLE	600	600	34	R 160 000 000
BUFFALO CITY METRO	710	550	29	R 213 523 613
CHRIS HANI	674	1003	96	R 215 800 000
JOE GQABI	459	514	34	R 120 000 000
NELSON MANDELA METRO	944	-	44	R 221 409 731
O.R. TAMBO	760	710	72	R 220 000 000
SARAH BAARTMAN	305	450	42	R 114 797 500
TOTAL	4970	4345	385	R1,413,197,103.00

UPGRADING OF INFORMAL SETTLEMENTS PROGRAMME BUDGET ALLOCATION 2025/26

The program will commence with 160 Informal Settlements in 2025/26

REGION	NO. OF UPGRADING OF INFORMAL SETTLEMENTS PROGRAMME PER REGION	BUDGET ALLOCATION 2023/24
ALFRED NZO	4	R 32 308 957
AMATHOLE	26	R 86 381 941
CHRIS HANI	19	R 25 962 446
JOE GQABI	10	R 25 527 319
O R TAMBO	20	R 22 686 222
SARAH BAARTMAN	81	R 99 657 115
OPSCAP	Operations and Consultation fees	R 15 396 000

REGION	NO. OF UPGRADING OF INFORMAL SETTLEMENTS PROGRAMME PER REGION	BUDGET ALLOCATION 2023/24
TOTAL	160	R 307 920 000

APPROPRIATED BUDGET 2025/26

The appropriated budget for the Department of Human Settlements for 2025/26 as outlined below:

BUDGET CATEGORY	TOTAL ALLOCATION (R'000)	PERCENTAGE OF OVERALL BUDGET
HSDG	1 572 985	66.38%
ISUPG	307 920	12.98%
Equitable share (provincial)	485 490	20.49%
EPWP	3 447	0.15%
TOTAL	2 369 842	100%

PROGRAMME-BY-PROGRAMME BUDGET ALLOCATION FOR 2025/26:

Honourable Members, the budget allocation Programme-by-Programme is hereby presented:

Programme 1: Administration is allocated **R189,561 million**

(Overall percentage **8.00%**)

Programme 2: Human Settlements Delivery Planning and Performance is

allocated **R18,849 million** (Overall percentage **0.80%**)

Programme 3: Housing Development is allocated **R 2,137,899 billion**

(Overall percentage **90.21%**)

Programme 4: Human Settlements Property and Asset Management is

allocated a total budget of **R23,533 million** (Overall percentage **0.99%**)

The departmental outlook for 2025/26 is summarised below:

KEY DELIVERY OUTPUTS	ANNUAL TARGETS 2025/26	MTDP 2025-2030
Breaking New Ground Housing Units	4 970	26 384
Individual Housing Subsidies	77	311
First Home Finance (FHF) <i>formerly</i> Finance Linked Individual Subsidies (FLISP)	260	2 500
Remedial Works Programme (Rectification)	1 158	5 790
Serviced Sites	4 345	9 227
Social and Economic Amenities	2	8
Title Deeds	1 666	8 893
Informal Settlements Upgrading	160	160
<i>Informal Settlements Upgraded in Phase 1</i>	30	
<i>Informal Settlements Upgraded in Phase 2</i>	47	
<i>Informal Settlements Upgraded in Phase 3</i>	83	
Percentage of Human Settlements Conditional Grants allocated to MSME Contractors	40%	40%
Intervention to Support Youths through the Artisan Development Programme (apprenticeship and learnership)	142	310
Jobs Opportunities Created (EPWP)	5 834	29 000
Projects with ISBT Elements Implemented	3	21

CONCLUSION

Honourable Members, the assigning of the Department of Human Settlements and the Department of Public Works and Infrastructure under one Executive Authority presents us with a rare and unique opportunity. By uniting our strengths, we can leverage our collective resources to deliver to the needs and aspirations of the people of our dear province more efficiently and effectively. There will be an integrated approach, whether it is the provision of housing in the context of sustainable integrated human settlements, development of social infrastructure, or the promotion of sustainable urban environments. This assignment presents an opportunity to maximize efficiencies, eliminate duplication, and ensure a more coordinated approach to service delivery.

We remain steadfast in our commitment to advancing these initiatives with deliberate intent, resilience, and a shared dedication to reshaping our province through innovative and adaptive human settlements development. Our efforts extend beyond the construction of housing; they focus on restoring dignity, fostering economic development, and ensuring that every resident of the Eastern Cape has access to a secure and stable home.

I would like to take this opportunity to express my profound gratitude to the Premier of the Province, Honourable Oscar Mabuyane, and the Executive Council for their unwavering support and guidance, which have been instrumental in enabling the Department of Human Settlements to effectively execute its mandate. Furthermore, I extend my sincere appreciation to the Head of Department, the Executive Management team, and all parties involved for their unwavering commitment to the delivery of sustainable and integrated human settlements within the province.

In conclusion, I hereby present the 2025/26 Policy and Budget Speech, along with the 2025-2030 Strategic Plan, 2025/26 Annual Performance Plan and the Annual Operational Plan for the Department of Human Settlements.

Thank you.



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